

$\text{Saving Potential} = \text{Average Monthly Income} - \text{Average Monthly Expenses}$

As you start dealing with real money, remember your dreams, and the purpose why you are striving for financial freedom. You are not running after money, but you are trying to deal and manage money better, so that you can use this as a means to chase your true calling in life.

Role of Saving Potential in Financial Freedom

Our saving potential is the fuel during our journey towards financial freedom. Knowing our saving potential allows us to calculate the speed at which we can undergo this journey. The more is our saving potential, the faster we can approach our financial freedom.

The next step will let us know our starting point of the journey.

Step 2: Identify your Assets, Liabilities and Net Worth

One of the key elements to any financial planning process is to know your financial net worth.

In very simple terms, net worth is the total value of everything you own (your assets) minus everything you owe (your liabilities). Once you are able to calculate your financial net worth and you also know your cash flow from Step 1, it is possible for you to calculate and plan how much you need to save on a yearly or monthly basis to reach your target of financial freedom. So, let us get going.

List your Assets

What is an asset?